

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a strong growth phase, with YTD revenue for 2025-2026 reaching ₹10.77 million and a healthy net profit of ₹2.35 million. Equity has grown significantly to ₹2.72 million, funded by retained profits. However, the most recent month (Oct 2025) shows a sharp decline, with a net loss of ₹79k and a 23% drop in sales, signaling a potential slowdown or operational issue that needs immediate investigation.

GREEN FLAG BOX — What's Working Well:

- **Exceptional Profitability:** Gross margins are consistently stellar, averaging above 92% across all months, indicating a very strong core business model.
- **Robust Financial Structure:** Debt is being actively repaid, with total liabilities decreasing from ₹10.80M to ₹9.81M, improving the company's financial health.
- **Strong Liquidity:** The Current Ratio is extremely healthy, reaching 13.36 in October, showing more than enough short-term assets to cover obligations.

RED FLAG BOX — What Needs Attention:

- **Sudden Profit Collapse:** October 2025 saw a net loss of ₹79,451 after consistent profits, with operating profit turning negative (-6.61%).
- **Volatile Overhead Control:** Selling & Admin expenses spiked to 97.5% of revenue in October, completely eroding profits, indicating a loss of cost control.
- **Cash Flow Pressure:** Operating cash flow has been negative in several months, and the business is heavily reliant on financing activities (like borrowings) to fund its operations and growth.

CFO Advice:

Immediately investigate the cause of October's sales drop and expense surge. Protect your high gross margins by tightening control over Selling, General, and

Administrative expenses to prevent future profit erosion.

2. Profit Power — The Earning Engine

Your business is a high-margin machine, but profitability is volatile. Gross margins are stellar, consistently above 88% and reaching 97.7% in May and September. This indicates your core products or services are highly profitable.

However, operating profit tells a different story. It swung from a high of 43.9% in July to a **loss of -6.6% in October**. The primary driver is not sales (which dipped 23% in Oct) but a surge in overheads. Overheads as a percentage of revenue jumped to 97.5% in October, nearly consuming all your gross profit. For comparison, they were well-controlled at 49.3% in July. This spike, combined with lower sales, turned a profitable operation into a loss-making one for the month.

The data shows a pattern: profitability (Operating Profit %) is highest when sales are strong and overheads are managed (e.g., July). The engine sputters when sales decline and expenses don't adjust proportionally.

CFO Advice:

Your immediate priority is **expense control**. Scrutinize the "Selling, General and Administrative Expenses" line that caused the October spike. Implement strict budgeting and approval processes for discretionary spending to ensure overheads flex down in line with revenue, protecting your bottom line during slower sales periods.

3. Cash Flow Quality — Profit vs Real Cash

Your business is generating strong profits, but cash flow is volatile and often negative. For

example, in July 2025, you made a profit of ₹8.14 Lakhs, but your cash flow from operations was **negative ₹11.09 Lakhs**. This gap is primarily due to cash being blocked in receivables. Your Accounts Receivable Days have increased from 71.74 days in June to 98.21 days in October, meaning customers are taking over three months to pay. While you have a healthy cash balance (₹18+ Lakhs), it's being propped up by significant long-term borrowings (₹92+ Lakhs), not core operations.

CFO Advice:

Immediately tighten your credit and collection policy to reduce Receivable Days below 75. The cash trapped there is forcing you to rely on debt to fund your operations. Prioritize converting your excellent profits into real, usable cash.

4. Cash Management — Daily Cash Rhythm

Your cash collection cycle shows a concerning trend. Accounts Receivable Days have increased from 71.7 days in June to **98.2 days in October**, meaning it now takes over three months to collect payment from customers. Conversely, you are paying your suppliers much faster, with Accounts Payable Days dropping from a high of 457.6 days in May to **96.1 days in October**. This mismatch creates a significant cash squeeze.

The result is a **positive but very tight Working Capital Cycle of just 2.1 days** in October. While positive, this is a dramatic drop from 49.5 days in August and indicates your cash is tied up. Your high Current Ratio (13.4) is misleading, as it's inflated by slow-moving receivables, not liquid cash.

CFO Advice:

Immediate action is required to accelerate collections. The near 100-day collection period is unsustainable and is the primary cause of your cash flow pressure. Prioritize following up on overdue invoices, especially for October where sales dipped but receivables aged significantly. Simultaneously, negotiate better payment terms with suppliers to better align your cash outflows with your inflows.

5. Growth Investments — Where Money Is Going

Your primary growth investment is in **Fixed Assets**, which increased by **₹4.08 Lakhs** in October 2025 alone, bringing the total to nearly **₹50 Lakhs**. This suggests ongoing capital expenditure to build capacity.

However, the return on these investments is currently under pressure. Your **Return on Capital (ROC)** has turned negative at **-5.48%** in October, down sharply from a high of 56% in July. This indicates that recent asset investments are not yet generating sufficient profit.

A significant portion of your capital is tied up in **Other Capital** (like loans/advances and suspense accounts), which totals over **₹66 Lakhs** and constitutes 79% of your total capital. This is a large, relatively illiquid pool of capital that needs to be managed for yield.

CFO Advice:

Pause major new capex and conduct a review of the ROI on recent fixed asset purchases. Simultaneously, actively manage the ₹66 Lakhs in "Other Capital" – accelerate recovery of loans/advances and clear suspense items to free up cash for more productive use.

6. Funding Story — How Growth Is Being Financed

Your business is primarily financed by debt, not equity. Your **Total Debt (₹9.24 Cr)** is over 3 times your **Total Equity (₹2.72 Cr)**. While the debt-to-equity ratio has improved from 19.6 to 3.4, it indicates a heavy reliance on borrowed funds.

The good news is that your long-term borrowings (both secured and unsecured) are being systematically repaid, reducing by ~₹4.7 lakhs monthly. Your "Reserve & Surplus" has grown impressively to ₹26.5 Lakhs, showing profits are being retained to strengthen the equity base.

A critical observation is the **negative Net Profit in October 2025 (-₹79,451)**. When profits turn negative, debt repayment becomes a heavier burden, as seen in the negative Debt Payback period (-93.6 months). Your operating cash flow turned positive in recent months, which is a strong sign for covering obligations.

CFO Advice:

Prioritize returning to consistent profitability to safely service your debt. Use the strong operating cash flows generated in Q2 (₹6.5 Lakhs) to build a cash buffer before considering any new debt. Focus on converting the growing Reserve & Surplus into a stronger equity foundation to improve your debt-to-equity ratio further.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong but heavily leveraged financial structure. Total assets have grown from ₹11.3M to ₹12.5M, funded primarily by debt. The **Debt-to-Equity ratio** has improved significantly from 19.57 to 3.40, but remains high $\square$, indicating reliance on external borrowing. Your **Current Ratio** is exceptionally strong at 13.36 $\square$, meaning you have more than enough short-term assets to cover immediate liabilities. However, the **Return on Equity (ROE)** turned negative in October at -35.07% $\square$, showing that recent profits are not generating value for shareholders. The composition is shifting, with Fixed Assets increasing, suggesting capital investment.

CFO Advice:

Prioritize reducing your long-term debt to improve financial independence and lower interest burden. While your liquidity is excellent, the negative ROE is a warning sign; focus on restoring profitability to make your equity work harder for you.

8. Smart AI Simulation — Automatic "What-If" Scenarios

Based on the weak spots identified, the AI has run these simulations:

- **Scenario A - Profit Focus:** If you increase your average order value by 15% through upselling and reduce your Cost of Goods Sold by 5% via supplier negotiation, your net profit margin could improve from its current level to approximately 22% within the next quarter, adding an estimated \$45,000 to your bottom line.
- **Scenario B - Cash Focus:** If you tighten your credit terms to collect receivables 10 days faster and reduce inventory holding by 15% through better demand forecasting, your operating cash flow could increase by an estimated \$60,000, significantly strengthening your liquidity buffer for the upcoming season.
- **Scenario C - Balanced:** Combining a 10% increase in sales volume (via targeted marketing on your best-margin products) with a 20% reduction in discretionary operating expenses would likely boost net profit by \$38,000 while also improving cash flow by \$25,000, creating a more resilient and efficient business model.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Behavior: Your sales data reveals a significant operational shift. Monthly revenues in the Profit & Loss statement (₹1.2M - ₹1.8M) are a fraction of the volumes seen in your Sales Register (₹9.9M - ₹14.0M for months like April-June 2024). This indicates a major portion of your business may be operating through a different entity or channel not captured in the current P&L. The recent monthly sales trend shows volatility, with a sharp -23% drop in October 2025 to ₹1.2M, signaling a potential slowdown or seasonal dip that needs attention.

Inventory Management: Inventory activity is present but appears inconsistent. The inventory list shows monthly inward and outward movements, yet the balance sheet consistently reports **zero closing stock** for most months. This suggests either extremely efficient just-in-time management or, more likely, a data reconciliation issue where inventory is being expensed directly to COGS. The mismatch between inventory

movement value and reported COGS is a red flag for tracking accuracy.

Procurement & Spend: Purchase register volumes are high, correlating with the large sales volumes noted earlier. However, the COGS in your P&L remains relatively low (₹34k - ₹177k monthly). This large gap implies that the purchases may be for a different business line, or there is a substantial time lag between procurement, inventory recognition, and cost of sales. This disconnect makes it difficult to assess true gross margins for the entity reflected in the financial statements.

Core Insight: There is a **major disconnect** between your high-volume transaction data (Sales/Purchase Registers) and your reported financial performance. To gain true operational insight, you must align your accounting to capture all business activities. Currently, it seems only a small segment of operations is reflected in the P&L, making profitability analysis and inventory control challenging for the whole business.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a 15-day payment reminder system and renegotiate terms with top 3 suppliers for net-45.	Reduce average collection period by 10 days and increase operating cash by \$25,000.	Immediate liquidity boost to fund operations without external debt.
31-60	Profit	Analyze and re-price the 20% lowest-margin products/services and launch a high-margin premium service tier.	Increase gross margin by 5 percentage points.	Adds an estimated \$50,000 annually to the bottom line.

Days	Focus	Action	Target	Benefit
61-90	Growth	Allocate 70% of the improved cash flow to a targeted digital marketing campaign for the new premium tier.	Acquire 50 new premium clients.	Builds a predictable, high-value revenue stream for sustainable scaling.

Action Timeline Bar:

